

Module 8: M&A Modeling and Target Defense Tactics

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GOODWILL

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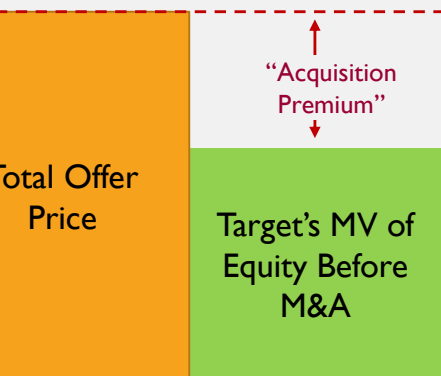
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Acquisition Premium v.s. "Goodwill"

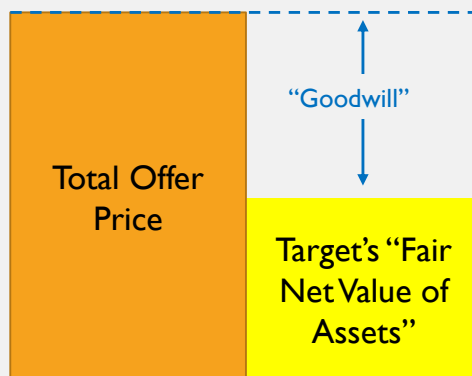
If an acquirer pays a total offer price greater than the target's "Fair Net Value of Assets", then the acquirer needs to create an item called "Goodwill" on the LHS (assets) of the balance sheets after the M&A.

$$\begin{array}{r} \$100 \text{ mil} \\ - 80 \text{ mil} \\ \hline = 20 \text{ mil} \end{array}$$

Total Acquisition Premium (\$)



Question: What is "Goodwill"?



- Fair Net Value of Assets
 - = Fair Value of Assets – Fair Value of Liabilities
- Fair Value of Assets = BV of Assets + Adj.
- Fair Value of Liabilities = BV of Liabilities + Adj.

Offer Price – Tgt standalone Equiv Value ← DCF Multiple
 ↓
 Tgt MV of Equity

20 million

On top of

Tgt

Assets	L
100 mil	20 million
	Equity
	80 million

$$\begin{array}{r} \text{BV of Assets} \quad 100 \text{ million} \\ + \quad 10 \text{ million} \\ \hline \end{array}$$

$$\text{Fair value of Assets} = 110 \text{ million}$$

$$\begin{array}{r} \text{Fair value of} \\ \text{Tgt's L} = 20 \text{ million} \\ + 5 \text{ million} \\ \hline 25 \text{ million} \end{array}$$

$$\$100 \text{ million} - 85 = \$15 \text{ million}$$

$$110 - 25 = 85 \text{ million}$$

Acquisition Premium v.s. “Goodwill”, An Example

- An acquirer buys 100% of a target’s equity with all cash.
 - Total offer price: \$500 mln.
 - The target company’s share price 4 weeks before the M&A announcement: \$40 per share.
 - The target company’s share outstanding: 10 mln
 - The target company’s total assets = \$400 mln
 - The target company’s total liabilities = \$100 mln
 - A professional auditing firm assesses the target company and decides that the target fair value adjustment of total assets = + \$50 mln and no adjustment is made on the target’s liabilities.

Questions:

- ① What is the total acquisition premium? *→ price 4 weeks before,*
- ② What is the “Goodwill” associated with this M&A transaction?

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$$\textcircled{1} \quad \$500 - \$40 \times 10 \text{ m} = \$500 \text{ m} - 400 \text{ m} = \$100 \text{ m} \quad \text{Acq Premium}$$

② goodwill

$$\text{BV of Assets} = \$400 \text{ m}$$

$$\text{Fair Value of Assets} = \$400 \text{ m} + \text{Adj} = \$450 \text{ m} \\ + \$50 \text{ m}$$

$$\text{BV of Liabilities} = \$100 \text{ m}$$

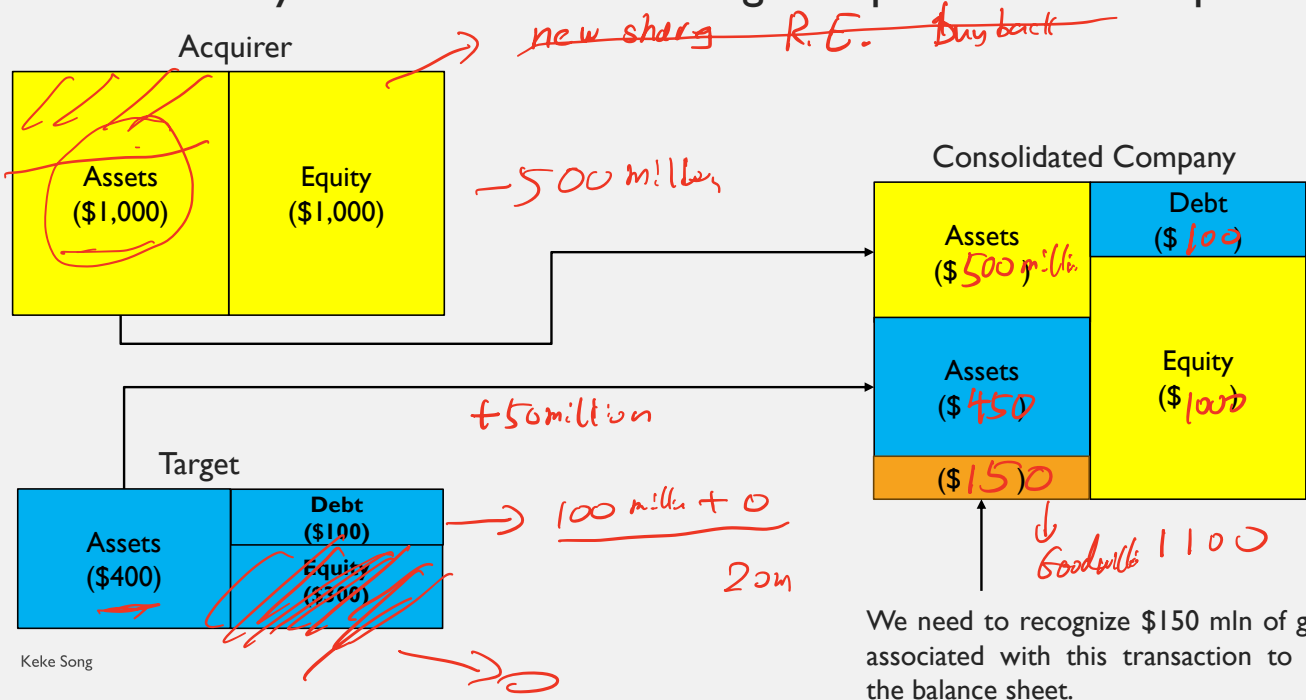
$$\text{Fair Value of Liabilities} = \$100 \text{ m} + \textcircled{0} = \$100 \text{ m}$$

$$\text{Fair net Value of Asset} = 450 - 100 = \boxed{350 \text{ mill}}$$

$$\text{Goodwill} = \$500 \text{ m} - \$350 = \boxed{\$150 \text{ mill.}}$$

↓
non contractually

Why Goodwill? Following the previous example



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Mini Case: M&A Modeling

- The acquiring company's corporate development team generated three possible scenarios of offer price and financing, the information of which is included in the spreadsheet "Module 8: M&A modeling example blank."
- Assumption: the deal will be close at the end of 2007.
- Your tasks:
 - 1. Fill in the blank cells of "Deal assumptions."
 - 2. Fill in the blank cells of "Goodwill created by the deal."
 - 3 Fill in the blank cells of the "Sources and Uses of Cash in the Deal."
 - 4. Check under which scenario the company will run short of cash balance.

Target Defense Tactics

- Target Defense: the target's board objects an M&A offer and tries to block a takeover attempt.
- For target-initiated M&As, the targets generally do not defend themselves from the takeover attempts.
- For acquirer-initiated M&As, especially for hostile M&As, the targets often adopt some defensive strategies/tactics.
- **Question: Should the target defend itself from takeover attempts?**

Summary of Defensive Strategies/Tactics

- Pre-offer tactics

- Poison Pill
- Restricted Voting Rights
- Staggered Board
- Golden Parachutes

- Post-offer tactics

- Targeted share buybacks
- Share buybacks including leveraged recapitalisation
- Cash dividends
- White Knights
- Crown's Jewel





Pre-offer Defense Tactics

- I. “Poison Pill” (shareholder rights plan)
 - A rights offering that allows existing target shareholders to purchase additional shares in the target (or sometimes the acquirer) at a deep discount if any shareholder (typically the acquirer) acquires shares beyond a specified threshold without prior board approval.
 - <https://money.cnn.com/2012/11/05/technology/netflix-poison-pill/>
 - Why is this a defense tactic?



Poison Pill Example

- Twitter’s poison pill to protect itself from Elon Musk’s takeover.

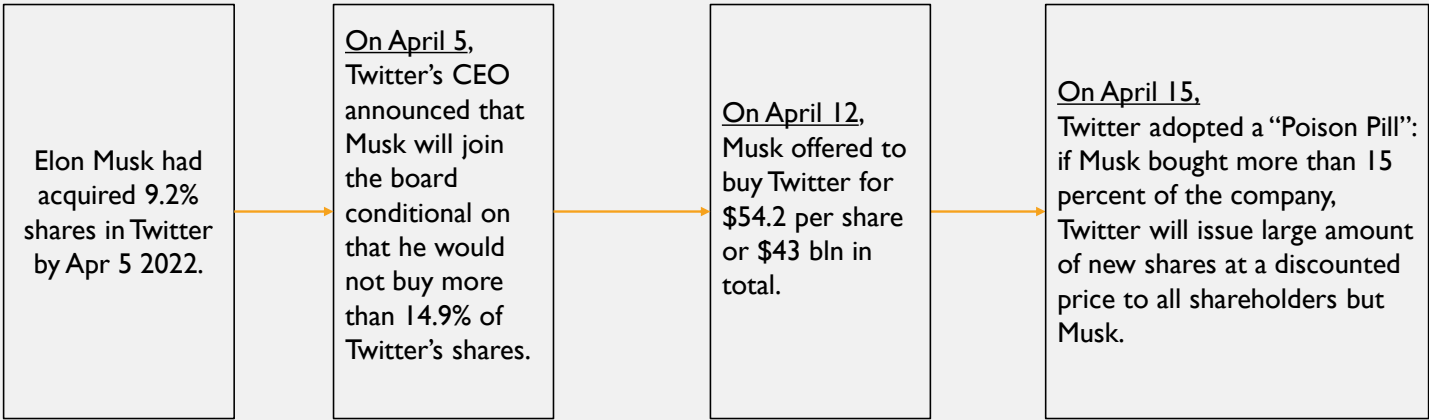
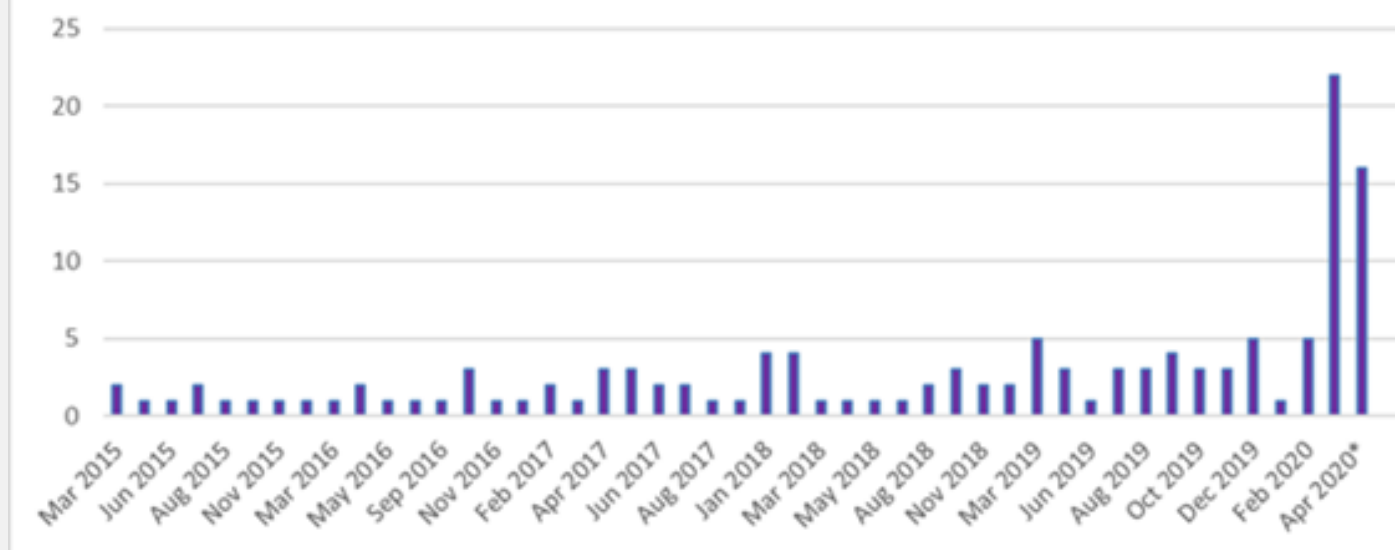


Figure 1
US Companies Adopting a Rights Plan (2015-2020)



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Pre-offer Defense Tactics, Cont'd

- 2. Restricted Voting Rights
 - E.g., The target firm adds a clause in the firm's charter (constitution): any shareholder who have recently acquired 10% or higher of the target's stock is restricted from voting in the next board meeting.
 - Why is it a defense tactic?
- 3. Staggered Board
 - E.g., The target's charter has the following clause: every director serves a 3-year term, and 1/3 of directors are up for election each year.
 - Why is this a defense tactic?

Pre-offer Defense Tactics, Cont'd



- 4. Golden Parachutes
 - If the executives of the target are replaced after a takeover, then the executives receive a large compensation package.
 - Why is this a defense tactic?

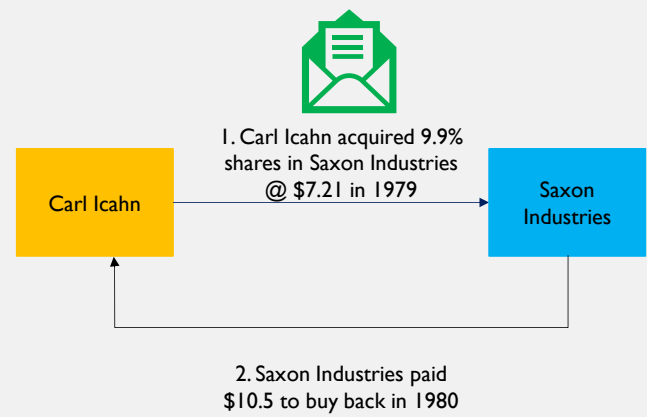
Source of Figure: The New York Times



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Post-offer Defense Tactics

- 1. **“Targeted Share Buybacks”** as the defense against “greenmailers” and hostile buyers:
 - Greenmailer:** The potential acquirer who has already purchased a significant proportion of the target firm and threatens the target with a hostile takeover.
 - Defense:** The target pays a premium to purchase its own shares back at a premium from the greenmailer. As a return, the greenmailer stops the takeover attempt, or the two parties reach a standstill agreement:
https://archive.fortune.com/magazines/fortune/fortune_archive/2007/06/11/100060832/index.htm?position=2007053010



Post-Offer Defense Tactics, Cont'd

- **2. Share buybacks:** The target company repurchases its own shares.
- **3. Leveraged recapitalization:** The target company borrows money to repurchase its own shares.
- **4. Large cash dividends:**

Post-offer Defense Tactics, Cont'd

• 6. White Knight

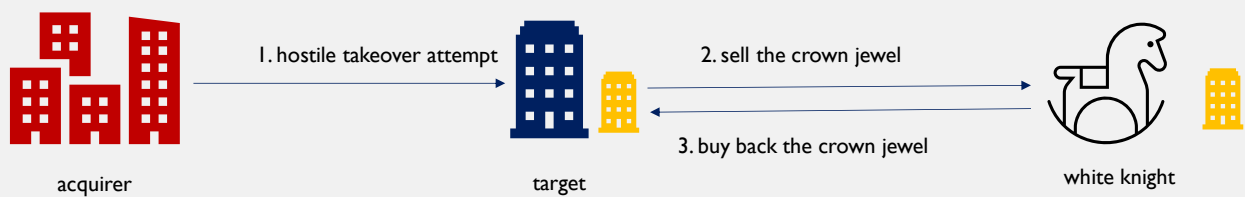
- When a hostile takeover appears to be inevitable, the target company could look for another, friendlier acquiring company (sympathetic of the target's management) who is willing to pay a higher price or help the target block the deal.



Post-Offer Defense Tactics, Cont'd

• 7. Crown Jewel

- After receiving a hostile acquisition offer:
 - The target signs an agreement with a “white knight”:
 - The target sells off a valuable subsidiary or asset (the crown jewel) to the white knight.
 - The target will buy back the crown jewel from the third party at a slightly higher price when the hostile takeover is over (conditional on the target remaining independent).
- Why is this a defense tactic?



“Frustrating Actions” (adopted in 2001)

What the acquirer can do if the target adopts a defense tactic

- According to the Takeovers Panel’s policy: the following actions proposed or taken by the target with the intention to have a bid withdrawn after a hostile takeover bid has been announced could be defined as “frustrating actions”.
 - 1. Significant issuing or repurchasing of shares (or convertible securities or options) (“Poison Pill”)
 - 2. Acquiring or disposing of a major asset, including making a takeover bid (“Crown Jewel”)
 - 3. Undertaking significant liabilities or changing the terms of its debt
 - 4. Declaring a special or abnormally large dividend
 - 5. Significant change to company share plans
 - 6. Entering into joint ventures
- The acquirer could appeal to the Takeovers Panel to restrict such actions, which make target defense more challenging.